



ROWAD
MODERN ENGINEERING

Material Control Process

P-FN-01

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1. OBJECTIVES

Material Control Process defines the system of receiving, identifying, inspecting, storing, issuing, and controlling material in RME stores including client's properties in an efficient manner, meeting the client's requirements, and controlling of all materials associated with the warehouse including inventories and scrap procedure.

2. STAKEHOLDER

- VMO (Procurement, Purchasing & MEP)
- Warehouse
- Quality Control
- Operation
- Finance
- HSE

3. LIABLE STAKEHOLDER

- VMO (Procurement, Purchasing & MEP)
- Warehouse
- Quality Control
- Operation
- Finance
- Purchasing
- PM
- TO
- Inventory Committee (Material / Fixed assets)
- Site Accountant
- Material Control Engineer
- CEO
- VP

4. TERMS AND DEFINITION

- **ERP:** Enterprise Resource Planning (Oracle)
- **PM:** Project Manager

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- **DC:** Document controller
- **QC:** Quality Control
- **TO:** Technical Office
- **QCM:** Quality control Manager
- **VMO:** Vendor Management Office
- **CFO:** Chief Financial Officer
- **CEO:** Chief Executive Officer
- **VP:** Vice President
- **SD:** Shop Drawing
- **IFC:** Issued for construction
- **Sales Org.:** A virtual Warehouse (ERP)
- **Material Inventory Committee:** (PM/TO/Storekeeper/Site Accountant, External Auditor, or their deputies)
- **Fixed Assets Inventory Committee:** PM/TO/Storekeeper/Site Accountant, Formwork, Accommodation, Equipment, Logistics, External Auditor, or their deputies)
- **Selling Scrap Committee:** Finance/Legal/Warehouse
- **Engineering materials:** Direct Item at BOQ (Steel – cement - blocks – woods, etc.)

5. RELATED DOCUMENTED INFORMATION

- Material Control Cycle Flow Chart (F-P-FN-01-16)
- PR: Purchase Order (ERP)
- PO: Purchase Order (ERP)
- MRV: Material Receiving Voucher (ERP)
- MIV: Material Issue Voucher (ERP)
- MTV: Material Transfer Voucher (ERP)
- MIVR: Material Issue Voucher Return (ERP)
- MRVR: Material Receiving Voucher Return (ERP)
- DN: Delivery Note
- Request for Return/Transfer Material, F-P-FN-01-01
- Custody Form, F-P-FN-01-02
- OSD: Over/Short/Damage Report (F-P-FN-01-03)
- Internal MIR: Internal Material Inspection Request, F-P-QD-07-01/ERP

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- Store Card
- Inventory list of material (ERP)
- Inventory Schedule Plan, F-P-FN-01-04
- Inventory Physical Report, F-P-FN-01-05
- Final Report for Selling Scrap, F-P-FN-01-06
- Scale Evaluation Form, F-P-FN-01-07
- SIDF: Scrap Identification & Disposal Form (F-P-FN-01-08)
- Scrap price analysis, F-P-FN-01-09
- Scrap Sale Contract, F-P-FN-01-10
- Scrap Quotation Request, F-P-FN-01-11
- Final Bill F-P-FN-01-12
- Opening Envelopes Report (F-P-FN-01-13)
- Material Tracking Daily log, F-P-FN-01-14
- Weekly/Monthly Wastage Report (F-P-FN-01-17)
- Site MR: Site Material Request (F-P-FN-01-15)
- Material Distribution form (F-P-FN-01-18)
- Material Progress Tracking Sheet (F-P-FN-01-19)

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Purchase Order
- Delivery Note
- Inventory list of Material

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
I. Receiving Material			
1	RME Storekeeper Officer shall check the received materials quantities that are related to the project's requirements (Engineering and consumable items).	Storekeeper Officer	PO (ERP) DN

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2	Storekeeper Officer shall ensure that the quantity received is same as the quantity on the approved PO and the packing list/DN, with no damages. The warehouse staff shall follow the storage instructions, referring to Project HSE Plan.	Storekeeper Officer	PO (ERP) DN
3	In case of damages, the quantities shall be returned to the supplier via MIVR.	Storekeeper	MIVR (ERP)
4	Storekeeper Officer shall inform QCM to inspect engineering material that is received in site store or other locations on site via Internal MIR.	QCM	Internal MIR (ERP) /F-P-QD-07-01
5	Storekeeper Officer shall issue MRV and get PM approval, then start to organize and allocate inspected materials in store according to coding and location system.	Storekeeper PM	MRV (ERP)
6	Upon MRV issuance, Finance Department shall release payment according to terms and conditions.	Finance	
7	Storekeeper Officer shall inspect all consumable items via Internal MIR, if damages are found, Storekeeper Officer shall issue OSD.	Storekeeper	Internal MIR (ERP) OSD F-P-FN-01-03
8	Permanent materials supplied by Client/Owner shall be inspected upon receipt by RME QC and owner representatives.	QC	Free Issue Material (ERP) Internal MIR (ERP) /F-P-QD-07-01

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9	In case of "Rejected items - Not to Be Used" Red tag/sticker/ribbon will be placed on the material, and the quantities shall be returned to the supplier via MIVR. Storekeeper Officer shall inform VMO to follow up with the suppliers.	Storekeeper VMO	MIVR (ERP)
II. Issuing Material			
10	Issuance will be based on FIFO (First in, first out) especially for material that has a limit for shelf-life /date.		
11	Site Team shall issue site MR, approved by CM.	Site Team CM	Site MR F-P-FN-01-15
12	Storekeeper Officer will check the availability of required material in stock.	Storekeeper	
13	In case material is available, it will be released via MIV (Move Order) by TO, signed by the Storekeeper Officer and receiver (Site Team/Subcontractor).	TO	MIV(ERP)
14	In case the material is not available, PR shall be issued by Requesting Department to Purchasing Department. Follow Purchasing Process P-PU-01.	Requesting dept Purchasing dept	PR (ERP)
III. Return and Transfer Material			
15	For any return or transfer material, request for return/transfer material form to be issued by the storekeeper and approved by PM with signatures from both parties, mentioning the return/transfer reason for the material prior implementation (ERP).	Storekeeper PM	Request for Return/ Transfer Material F-P-FN-01-01

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	Copy of the form to be sent to COO and the Warehouse Manager.		
16	<u>Return Materials</u> a) Material returns from site store to the supplier; MIVR form will be issued by storekeeper and signed by the supplier after receiving of the material.	Storekeeper	MIVR (ERP)
17	b) Material return from site to same site store MRVR form will be issued by storekeeper and approved by the PM.	PM	MRVR (ERP)
18	<u>Transfer Materials</u> a) In case of Material transfer from site to other site, the Warehouse and Operation coordinates with other PMs for material transfer via MTV approved by both PMs.	Warehouse Operation PMs	MTV (ERP)
19	b) In case of Material transfer from site to main store, MTV form shall be issued by storekeeper, and approved by the PM to proceed the transferring cycle.	Storekeeper PM	MTV (ERP)
IV. Custody			

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20	RME employee will have a permanent custody record that carries his name and national ID number to record any tools that will be in his custody for more than one day until it's returned to store. Custody Log to be maintained by storekeeper officer.	storekeeper officer	Custody Form F-P-FN-01-02
V. Inventory			
21	Inventory Schedule Plan along with the committee members to be prepared by Finance and approved by CFO, CEO and/or VP.	Finance	Inventory Schedule Plan F-P-FN-01-04
22	A. Warehouse Inventory i. Storekeeper arranges the material in the store, identifying it by Store Card label and stores them with suitable procedure to maintain its good condition.	Storekeeper	Store Card
23	ii. Finance extracts a list of material from ERP, demonstrating all incoming materials including last voucher (Issuance/Addition/Return) without mentioning any quantities.	Finance	Inventory list of Material (ERP)
24	iii. Finance notifies Inventory Committee on quarterly basis via e-mail, one week prior to the Physical Inventory to hold any inventory	Finance	

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	transactions effective from the date of the Physical Inventory.		
25	<u>B. Fixed Assets Inventory</u> i. Fixed Assets Inventory Committee shall carry physical inventory for the company's machines and equipment, mentioning its original condition (valid/invalid/new/used/not in use/damaged).	Fixed Assets Inventory Committee	Physical Inventory Report F-P-FN-01-05
26	ii. Committee assures all assets are labeled for proper identification.	Fixed Assets Inventory Committee	
27	iii. Carry physical inventory for the vehicles to include; plate numbers, chassis numbers, motor numbers and a detailed report with the car's contents.	Fixed Assets Inventory Committee	
28	iv. Carry physical inventory for furniture, electronic devices, and appliances.	Fixed Assets Inventory Committee	
29	<u>Committee's Physical Inventory Report (A, B)</u> I. Physical Inventory committee (Material @ Warehouse/Fixed Assets) shall commit to the actual inventory in the required planned date, and document all notes observed on stock as follows: • Mistakes in the item's description • Mistakes in classifying the measuring unit • Expired Items • Inadequate storing condition	Inventory Committee	

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	Subcontractor's material or fixed assets that are in the company's custody are inventoried with a separate workbook.		
30	II. Inventory occurs with the presence of the Warehouse Storekeeper and sign the inventory list to ensure the validation of its information, and that these items have been delivered after inventoried with the same condition as before.	Storekeeper	Inventory list of Material (ERP)
31	III. Committee submits and signs a report within 48 hours from the physical inventory ending date with the actual inventory figures including notes, if any.	Inventory Committee	Physical Inventory Report F-P-FN-01-05
32	IV. Finance issues a report for any deviations to the Warehouse Manager to clarify the deviations reason. Same to be forwarded to CFO for his information.	Finance Warehouse Manager	Physical Inventory Report F-P-FN-01-05
33	<u>General Instructions</u> a) A copy of the inventory schedule plan shall be submitted to the external auditor via e-mail.	Finance	Inventory Schedule Plan F-P-FN-01-04
34	b) It's prohibited to write any quantities of the items on the inventory list before the start of the inventory procedure.	Inventory Committee	Inventory list of Material (ERP)
35	c) Inventory committee shall not rectify information written by mistake, it should be cancelled completely and printed again.	Inventory Committee	Inventory list of Material (ERP)

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36	d) Inventory workbook should be signed from all committee members on the day of the inventory, then submitted to the Finance.	Inventory Committee	Physical Inventory Report F-P-FN-01-05
VI. Scrap Disposal			
37	PM/Department Manager shall inform RME Warehouse Manager via an email with the scrap /unneeded items to be removed (tools, steel, timber wood and fixed asset, etc.), then follow one of the below mentioned cases: Case I (Unneeded Material): In case material is needed in another department/project, Warehouse Manager shall inform the PM to transfer the items. Follow steps 18 & 19. For Formwork: In case Timber/ Plywood could be used in another Project, Request for return/transfer material to be issued by PM with coordination of Form work Dept to confirm the reuse, and send it to Finance. Case II (Scrap Material): In case of scrap material, Warehouse Manager shall start the disposal of scrap materials.	PM Department Manager Warehouse Manager PM Formwork Finance Department Manager	Request for Return/ Transfer Material F-P-FN-01-01
38	Selling Scrap Items: Case I (Less than 1M): Warehouse dept shall collect minimum of three quotations from three different dealers within 10 working days. Warehouse dept shall review all quotations and prepare the Scrap price analysis to get approval on the highest bid from VP/CEO, then prepare Scrap Sale contract, if needed. Case II (More than 1M): Warehouse shall collect closed envelopes after a guarantee payment is paid from dealers to offer their quotation. Selling Scrap committee shall be formed	Warehouse VP/CEO	Scrap Quotation Request F-P-FN-01-11 Scrap Price analysis F-P-FN-01-09 Opening

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	(Finance/Legal/Warehouse) to open the envelopes, and warehouse shall prepare the opening envelopes report according to the chosen dealer based on the highest bid, then get the approval from VP/CEO. After VP/CEO approval, Warehouse manager shall prepare Scrap Sale contract.	Selling Scrap committee Warehouse	Envelopes Report F-P-FN-01-13 Scrap Sale Contract F-P-FN-01-10
39	Warehouse shall inform the selected dealer and 50% from the total amount shall be deposited to RME bank account. Warehouse dept shall confirm with Finance via e-mail.	Warehouse Finance	
40	Final Report should be prepared by Finance, and signed by PM, Warehouse Manager, Storekeeper and Site Accountant, clearly mention in the report the following: • Materials Type • Total Weight • Total Price	Finance PM Warehouse Site Accountant	Final Report for Selling Scrap F-P-FN-01-06
41	Storekeeper, PM (or his deputy) and Site Accountant must attend during material loading and scaling.	Storekeeper PM Site Accountant	
42	Prior to any scale service provider approval, Storekeeper shall visit the premises to conduct an initial evaluation, upon the below criteria; • Location • Attested Certificate • Calibration Certificate • Quality measures • Honesty and reputation	Warehouse	Scale Evaluation Form F-P-FN-01-07
43	The performance of the approved service providers shall be monitored periodically every 6 months by Storekeeper and Accountant according to the above-mentioned criteria in step 42.	Warehouse Accountant	Scale Evaluation Form F-P-FN-01-07

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	Warehouse Manager shall update the approved Service provider list periodically according to the initial and periodic evaluation.		
44	If scrap is sold by tons, materials should be weighted (Net Weight) by weighing the truck with RME witness at the approved scale service provider. Storekeeper shall attach weight voucher and photo, if applicable.	Storekeeper Warehouse Manager	Weight Voucher
45	Before releasing materials, Storekeeper shall confirm with the finance that the buyer has paid full amount for the scrap through a bank transfer and attach a copy with final report for Selling Scrap.	Storekeeper	Final Report for Selling Scrap F-P-FN-01-06
46	Storekeeper should prepare SIDF including final signed report which will be sent by Warehouse to Finance dept after VP/CEO approval to close SIDF.	Storekeeper CEO/ VP	SIDF F-P-FN-01-08
47	Warehouse dept shall update on ORACLE the sold scrap for the project as on hand materials and Sales org.	Warehouse	
48	Finance dept shall prepare final bill to close scrap dealer account according to the submitted SIDF & Sales Order.	Finance	Final Bill F-P-FN-01-12
VII. Project Material Control Cycle Refer to Material Control Flow Chart, F-P-FN-01-16			
49	Qs shall be carried out based on SD/IFC dwg by Site TO along with a comparison between SD/IFC & tender dwg after one month from the tender	Site TO	QS

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	handover meeting. Refer to Project Launching Process (P-TN-02) In case SD/IFC is not available, Qs to be done based on tender dwg till SD/IFC is received. Qs shall be updated, if required, according to any changes. Time frame: QS to be prepared within a month for normal projects and two weeks for fast-track projects, effective from receiving SD/IFC/tender DWGs.		
50	Upon issuance of project sourcing strategy & sourcing plan, Site TO shall submit Material submittal according to planned dates, then raise PR and PO. Refer to Purchasing Process (P-PU-01)	Site TO	Project Sourcing Strategy F-P-TN-02-05 Sourcing Plan F-P-TN-02-07
51	Storekeeper shall follow material Control Process (P-FN-01) after receiving material on site.	Storekeeper	
52	Site team shall raise a site MR according to the needs of the site (RME and/or subcontractors) approved by CM for verification, then send it to Warehouse.	Site Team CM	Site Material Request F-P-FN-01-15
53	Storekeeper shall Identify the material coding on site MR, and check the material availability in site store according to the following cases: In case of material isn't available: Site TO shall raise PR & PO In case of material is available: Material control engineer shall review the status of the site MR by using material progress tracking	Storekeeper Site TO	Site Material Request F-P-FN-01-15 Material Tracking Daily Log F-P-FN-01-14 Material Progress

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	Sheet and material tracking daily log to identify if the subcontractor /site team received the entire quantity for the item, then approve the site MR form & update Material Tracking Sheet. If the entire quantity for the item is totally received, Material Control engineer shall Send a copy of site MR form commented with the extra material amount to the technical office to be deducted from the interim invoice before Material Control Engineer's approval.	Material Control Engineer	Tracking Sheet F-P-FN-01-19
54	Material control engineer shall update the material progress tracking sheet based on material distribution form which updated according to the site execution and submitted by CM on daily basis.	Material Control Engineer CM	Material distribution Form F-P-FN-01-18
55	DC shall Create Move Order request on ERP using the approved material request form, then Storekeeper shall release material to subcontractor/site team accordingly.	DC Storekeeper	
56	Material Control Engineer shall arrange regular visits to site in coordination with site team/planning to check material on site, material executed and work in progress to measure material wastage utilising tracking sheet.	Material Control Engineer	
57	Storekeeper shall prepare the delivered material report and send it to material control engineer on weekly basis.	Storekeeper	

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58	Site team shall inform material control engineer with the material on ground on weekly basis.	Site Team	
59	Material Control engineer shall prepare the weekly wastage report based on the above-mentioned steps no. 56, 57, 58.	Material Control Engineer	Weekly Wastage Report F-P-FN-01-17
60	Material Control Engineer shall check if the wastage is suitable for recycling, then inform the Site team to reuse it or inform the storekeeper to waste material disposal.	Material Control Engineer	
61	Material Control Engineer shall prepare the Monthly Report to include the following but not limited to: • Supply, release material • In stock material • Wastage material Material control engineer shall confirm that the wastage within accepted limit refer to approved budget, and if the wastage exceeds the accepted limit, site team shall identify the root causes and the corrective actions.	Material Control Engineer Site Team	Monthly Wastage Report F-P-FN-01-17

6.3. PROCESS OUTPUT

- Material Record/Tracking
- Project material cost based on move order
- Inventory's Final Report
- Scrap Disposal Final Report
- Monthly Report including wastages figures

7. PROCESS RISK ASSESMENT

Included in the risk register form no. F-P-QD-05-01 "Risk identification and assessment" maintained by the HOD, along with the action plan to address risks and opportunities".

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8. PROCESS CONTROL

- Stock Record Card
- SIDF
- Physical inventory report
- Weekly/Monthly Wastage Report

9. PERFORMANCE MEASURES

- RME on hand value

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
01	00	New Issue	01/12/2016
02	01	All Points	20/01/2022